Taxation

Direct tax: Directly collected from a taxpayers' income (income tax)

Indirect tax: Indirectly affects income (GST)

Progressive tax: Proportion of tax relative to income increases as income increases (income tax system)

Regressive tax: Proportion of tax relative to income decreases as income increases (GST)

Proportional tax: The proportion of tax relative to income remains constant regardless of income levels (company tax)

Tax is a percentage fee levied on goods, services or income that are payed to the government

- **What are the types of taxes on income?**
  - Personal income tax
  - Company tax
  - Fringe benefits tax
    - A tax on any benefits gained on top of regular entitlements. (free parking, paid flights paid by companies on top of your income)
    - The individual gets taxed
  - Medicare levy
    - On top of income tax, it is your contribution towards medicare
- **What are the types of taxes on the provision of goods and services?**
  - Wholesale sales tax
    - Tax on wholesales
  - Goods and services tax (GST)
    - Standard tax on the provision of goods and services
  - Excise duties
    - Typically paid on de-merit goods such as cigarettes
- **What are the types of taxes on property and wealth?**

Capital gains tax

Tax on gains on property

If you bought a house for 300k and sold it for 600k, you get taxed on that profit

Stamp duty

Tax on ownership of that property or car

Contributes to the total cost of the purchase of house or car

▼ **What are the types of taxes on resources?**

Petroleum resource rent tax

Tax on the provision of petroleum

Carbon tax (2012-2014)

Was a tax on the provision of carbon

▼ **What is the difference between impact vs. incidence of taxation?**

Impact - where the tax is levied or collected

Incidence - where the burden of tax falls

In most cases the incidence and impact are the same (such as income tax)

The impact of cigarette tax is on the company but the incidence lies on the consumer

The impact of GST is on the company but the incidence lies on the consumer. The consumer doesnt directly pay the tax to the government, we pay higher prices to the compnay.

▼ **Analysing Australia's tax system**

Taxes should be:

Equitable (fair)

- Horizontal and vertical equity
    - A tax on fast food would not be equitable as most consumers are poor so they would become poorer

Simple

- Easy to collect

- Simple to understand
    - Easy to understand what the tax is about for consumers and easy for the government to collect

Efficient

- Benefits of tax must outway costs of collection
    - Benefits such as revenue
- Minimal distortion of decision making should not operate in a discriminatory manner

▼ **Is Australia's tax system equitable, simple and efficient?**

Tax Name	Overview – including how it works.	Direct or Indirect	Progressive, Regressive Proportional	Tax on Income or Expenditure	Who bears the incident and impact of the tax	MOST IMPORTANTLY: Analysis – is it a Good Tax – based on Fairness, Efficiency and Simplicity
Income	It's a progressive tax that increases the rate of taxation as the taxable income increases	Direct	Progressive	tax on income	Individuals	It is fair because it allows for an efficient redistribution of income. It has high paper work for everyone so that is a cost. It is equitable to society an simple to understand as there is plenty of informatio Benefits: - Redistributes income - Incentivises high incomes - Easy to do - Simple as it is straightforward to understand Costs: - Takes out a lot of peoples time to do and everyone has to do all the paper work
Company	It's a proportional flat rate of company tax to the government of 30%	Direct	Proportional	tax on income	companies	Company tax is fair Benefits: - Generates lots of income for the government - Efficient - Simple to understand Costs: - It is proportional so it's more significant for smaller companies than larger companies - Does not uphold vertical equity " - Administrative costs
GST	A regressive tax on the provision of goods and services	Indirect	Regressive	tax on expenditure	companies bear impact and consumers bear incidence	Benefits - Not everything has GST such as vegetables - Makes revenue - Simple as consumers don't need to think about it - It is more efficient than not Costs - Regressive. Higher impact on lower income earners - Doesn't aid vertical equity - No income redistribution - Administrative costs - Lots of people don't know about the exclusions not so simple always
Capital Gains	Tax paid on the gain of capital such as profit on property	direct	Proportional	income	Individuals	
Fringe Benefits	Tax paid on the added benefits given to employees from	direct	Proportional	Income	Employers bear the incidence and impact	
Excise Duty	Tax on demerit goods	Indirect	proportional	expenditure	companies bear the impact but consumers bear the incidence	
Stamp Duty	Tax levied on the purchase of property about 3-4% of the value	Indirect	Proportional	Expenditure	Buyers	not fair Benefits: - Most people affected will be higher income earners - Covers administrative costs of transfer of property - Simple to understand Costs - Harder for lower income earners to but becaus increased cost - Does not help with income redistribution - Not as simple because it is an added cost

▼ Distinguish between direct and indirect taxation

A direct tax is one that directly affects income, and therefore the burden and impact of tax falls on the same person. An example is personal income tax.

An indirect tax is one that indirectly affects income, and therefore the incidence and impact of the tax falls on different people. An example is

Goods and Services Tax (GST)

▼ **Distinguish between progressive, regressive and proportional taxation systems with examples.**

A progressive tax is one that increase the rate of tax as the taxable subject increases. An example is personal income tax.

A regressive tax is one that decreases the rate of tax as the taxable subject increases. An example is GST

A proportional tax has a flat rate of tax that applies to everyone involved. An example is company tax.

▼ **Distinguish between taxes on income and expenditure**

A tax on income such as personal income tax is a direct tax that affects income directly. It is collected from the income source and burdens the income earner.

A tax on expenditure such as GST is an indirect tax that indirectly affects income. It is collected from the business selling the produce but impacts the consumer in the form of affected prices.

▼ **Outline the impact and incidence on 3 different types of taxations**

Personal income tax has incidence and impac

▼ **Outline the efficiency, equity and simplicity of 3 different types of taxation.**